

*Homes, Inc. v. Midtec, Inc.* (2008) 168 Cal.App.4th 1194, 1215.)

The economic loss rule does not bar all cases involving the negligent performance of services. “A contract to perform services gives rise to a duty of care which requires that such services be performed in a competent and reasonable manner.” (*North American Chemical Co. v. Superior Court* (1997) 59 Cal.App.4th 764, 774.) “A negligent failure to do so may be both a breach of contract and a tort. [Citation.] In such a hybrid circumstance, the plaintiff is entitled to pursue both legal theories until an occasion for an election of remedies arises. [Citation.]” (*Ibid.*) The economic loss rule does not apply in cases involving the negligent performance of services that results in foreseeable economic loss. (*Id.* at pp. 781-785.) Here, this is what Plaintiffs are alleging against Defendant in their negligent repair cause of action. As discussed above, Plaintiffs have properly pled the essential elements of a negligent repair claim. Here, the Court concludes that the economic loss rule is not a bar to their negligent repair claim.

Defendant’s demurrer to Plaintiffs’ fourth cause of action for negligent repair based on the economic loss rule is **OVERRULED**.

### **Ruling**

The Court **OVERRULES** Defendant’s demurrer to Plaintiffs’ fourth cause of action for negligent repair.

10. 9:00 AM CASE NUMBER: MSC19-02109

CASE NAME: S&S DRYWALL VS. SCM CONSTRUCTION

\*HEARING ON MOTION IN RE: FOR LEAVE TO FILE SECOND AMENDED CROSS-COMPLAINT /  
MOVED TO 5/29/26 PER GRANTED EX PARTE APPLICATION

FILED BY: SCM CONSTRUCTION MANAGEMENT SERVICES, INC.

**\*TENTATIVE RULING:\***

Before the Court is a motion for leave to file a second amended cross-complaint by Defendant and Cross-Complainant SCM Construction Management Services Inc. This motion is opposed by Plaintiff and Cross-Defendant S&S Drywall.

Defendant/Cross-Complainant’s motion is **GRANTED**.

Defendant/Cross-Complainant shall serve entry of this order on all parties and shall also file the proposed Second Amended Cross-Complaint within ten days of May 29, 2026.

I. Request for Judicial Notice

In support of its motion, Defendant and Cross-Complainant SCM Construction Management Services, Inc. ("SCM") requests judicial notice of:

1. Plaintiff/Cross-Defendant S&S Drywall's ("S&S") Initial Complaint filed in this case October 11, 2019;
2. SCM's Cross-Complaint in this case filed December 2, 2019;
3. SCM's First Amended Cross-Complaint filed August 16, 2021;
4. SCM's Complaint against AUS Decking, Inc., Gonsalves & Santucci, Inc., a California corporation dba Conco, House Construction Inc., Ray Tech Professional Painting, Inc., Tara Coatings, Inc., Wm O'Neill Lath & Plastering Corp., and Does 1-50 (Case No. C22-00483) filed March 14, 2022;
5. SCM's Complaint against SCS Flooring Systems, Inc., and Does 1-50 (Case No. C23-02390) filed September 21, 2023;
6. the March 4, 2024 stipulation and court order to consolidate cases C22-00483 and C19-02109 and make the latter the lead case;
7. the July 15, 2024 stipulation and court order to consolidate cases C23-02390 and C19-02109 and make the latter the lead case;
8. SCM's March 28, 2024 Request for Dismissal as to House Construction Inc.;
9. SCM's January 20, 2026 Request for Dismissal as to AUS Decking, Inc., Gonsalves & Santucci, Inc., a California corporation dba Conco, Ray Tech Professional Painting, Inc., Tara Coatings, Inc., Wm O'Neill Lath & Plastering Corp, and SCS Flooring Systems, Inc.

A court may take judicial notice of court records pursuant to Evidence Code section 452(d).

Defendant's unopposed request for judicial notice is **GRANTED**.

II. Brief Factual and Procedural Background

This case arises out of a dispute between a general contractor (Defendant/Cross-Complainant SCM) and a sub-contractor (Plaintiff/Cross-

Defendant S&S) over the adequacy of sub-contracted construction work performed on a Walnut Creek apartment building and the payment for services rendered therein.

S&S filed its Initial Complaint in this case on October 11, 2019. (Request for Judicial Notice (“RJN”) Exhibit A.) SCM filed a Cross-Complaint on December 2, 2019, which it amended on August 16, 2021. (*Id.* Exhibits B, C.) SCM filed two separate, but related actions against other sub-contractors involved in the construction project in 2022 and 2023, respectively. (*Id.* Exhibits D, E.) The Court consolidated those cases, making the case initiated by S&S in 2019 the lead case. (*Id.* Exhibits F, G.) The defendants from the related actions have since been dismissed, leaving S&S and SCM the sole parties to the lawsuit again. (*Id.* Exhibits H, I.)

SCM now seeks to amend its First Amended Cross-Complaint to remove property damage allegations. (Memorandum of Points and Authorities in Support of Cross-Complainant SCM Construction Management Services, Inc.’s Motion for Leave to File Second Amended Cross Complaint (“Motion”) at 1:8-10.) On March 26, 2026, SCM’s attorney Melissa Tong sought stipulation from S&S’s attorneys Daniel Herns and Sheryl Traum to a proposed Second Amended Cross-Complaint; Mr. Herns did not respond, and Ms. Traum declined. (Declaration of Melissa Tong in Support of Cross-Complainant SCM Construction Management Services, Inc.’s Motion for Leave to File Second Amended Cross-Complaint (Tong Dec.) at 1:24-26.)

The instant motion was filed April 3, 2026. At an April 6, 2026 Trial Setting Conference, the Court referred this case to the Settlement Mentor Program. (Plaintiff’s Opposition to Defendant and Cross-Complainant’s Motion for Leave to File a Second Amended Cross Complaint (“Opp.”) at 2.)

### III. Legal Standard

A trial court has discretion to allow amendment of any pleading at any stage of the proceedings, even as late as trial. (Code Civ. Proc., §§ 473, 576; *Sullivan v. City of Sacramento* (1987) 190 Cal.App.3d 1070, 1081.) “[C]ourts should indulge in great liberality in permitting amendment so that no litigant shall be deprived of his day in court because of technicalities.” (*Landis v. Superior Court of Los Angeles County* (1965) 232 Cal.App.2d 548, 554.) “Indeed, ‘it is a rare case in

which “a court will be justified in refusing a party leave to amend his pleading so that he may properly present his case”” (*Douglas v. Superior Court* (1989) 215 Cal.App.3d 155, 158, quoting *Morgan v. Superior Court of Los Angeles County* (1959) 172 Cal.App.2d 527, 530.)

Where inexcusable delay *and* probable prejudice to the opposing party are present, denial of leave to amend is warranted. (*Estate of Murphy v. Gulf Ins. Co.* (1978) 82 Cal.App.3d 304, 311.) Prejudice may be shown for instance where “the trial date is set, the jury is about to be impaneled, counsel, the parties, the trial court, and the witnesses have blocked the time, and the only way to avoid prejudice to the opposing party is to continue the trial date to allow further discovery.” (*Magpali v. Farmers Group* (1996) 48 Cal.App.4th 471, 488.)

The court’s discretion to deny leave is accordingly narrow, however, and “instances justifying denial of leave are rare.” (*Armenta ex rel. City of Burbank v. Mueller Co.* (2006) 142 Cal.App.4th 636, 642.) “[A]bsent a showing of prejudice to the adverse party, the rule of great liberality in allowing amendment of pleadings will prevail.” (*Board of Trustees v. Superior Court* (2007) 149 Cal.App.4th 1154, 1163.)

#### IV. Analysis

As an initial matter, the Court notes that S&S’s Opposition does not comply with California Rules of Court prescribing form and format of papers presented for filing in the trial courts. California Rule of Court 2.108 requires that “lines on each page must be one and one-half spaced or double-spaced and numbered consecutively.” (Cal. Rules of Court, rule 2.108.) California Rule of the Court 2.109 also requires that each page be numbered consecutively at the bottom. (Cal. Rules of Court, rule 2.109.) S&S’s Opposition is single spaced and the pages are not numbered at the bottom. The Court reminds S&S’s counsel to ensure future papers align with proper form and format as prescribed by the California Rules of the Court.

On the merits, S&S’s Opposition is unavailing. S&S urges the Court, without citation to any legal authority, to deny SCM’s motion for leave to amend its First Amended Cross-Complaint on the grounds that it is made in bad faith, with an eye toward eliminating S&S’s insurance carrier from the litigatory landscape in order to pressure S&S to agree to SCM’s allegedly recently proposed “mutual

walkaway offer.” (Opp. at 2.) This is not the type of prejudice that warrants a denial of leave to amend.

The proposed amendment relies on the same set of facts and requires no additional investigation or rebuttal witnesses. (*City of Stanton v. Cox* (1989) 207 Cal.App.3d 1557, 1563.) In fact, SCM seeks not to expand but to narrow the scope of its Cross-Complaint by deleting the property damage allegations. (Motion at 2:14-16.) The proposed amendment will not require delaying trial, nor will it result in added costs of preparation and/or increased discovery burdens. (*Miles v. City of Los Angeles* (2020) 56 Cal.App.5th 728, 739.) S&S points to no authority, and the Court is not aware of any, that holds that leave to amend should be denied where its permission would negatively impact settlement negotiations.

V. Conclusion

For the foregoing reasons, SCM’s motion for leave to file a Second Amended Cross-Complaint is **GRANTED**.

11. 9:00 AM CASE NUMBER: MSC20-00798  
CASE NAME: DAVEN VS. WING ENTERPRISES NKA LITTLE GIANT LADDERS SYSTEMS, LLC  
HEARING ON ORDER TO SHOW CAUSE IN RE: WHY THE COURT SHOULD NOT ISSUE SANCTIONS UP TO \$2,000.00 AGAINST COUNSEL: BROWN FOR FAILURE TO OBEY COURT ORDERS  
FILED BY:

**\*TENTATIVE RULING:\***

The court issued an order to show cause to Michael Brown, counsel for Plaintiff in writing on April 8, 2026.

PLEASE TAKE NOTICE THAT YOU ARE ORDERED TO APPEAR MAY 29, 2026 AT 9:00 a.m. in Department 32 of the above-entitled court at 725 Court Street, Martinez, California, and show cause, if cause there be, why monetary sanctions of up to \$2000 should not be imposed and why the clerk of the court should not be ordered to report your conduct to the State Bar for disobeying an order of the court in cross examining expert witnesses about the content of tenor of any scientific, technical or professional text, treatise, journal or similar publication without first complying with Evid. Code Section 721. Any response to this OSC must be filed and served at least five court days prior to this hearing.